

help your family meet current or future needs. Any investment has a short, medium or long-term prospect, or an optimal investment horizon, which is the length of time the money is expected to be invested. The investment horizon depends on how much money is available and when it will be needed. "Life insurance can help cover immediate expenses and provide long-term protection of the assets you have earmarked for your family's future," says Srinivasan. For instance, insurance can help provide the money to meet the ongoing costs of running a household without dipping into savings and depleting assets needed for the future.

Each financial product has certain characteristics that are geared to meet specific investors' needs. "For instance," says Pranav Mishra, senior vice-president, ICICI Prudential Life, "pension plans are designed to provide for the retirement of the investor, while bank deposit and savings accounts are designed for the short to medium term, as they provide a low-risk return alternative."

Insurance plans are long-term

POLICY WOES

More often than not, our life insurance policies do not fit our financial plans. Here's what you should consider when buying new cover.

COST

Much of what you paid for your existing policy went as charges for selling and issuing the policy. Will you pay this again for new cover?

REVIEW

Don't cancel your old policy until you have received the new one. You then have a minimum period to review the new cover.

TAX

Check if dropping your policy would mean losing tax benefits you enjoyed earlier.

INSURABILITY

As you get older, premiums will often be higher. Or you might not be insurable any more.

commitments in nature. However, there are advisers who encourage people to buy insurance policies indiscriminately. This was made most obvious in the case of unit-linked income plans (ULIPs), which were being recommended as short-term investment. However, with some regulations being put in place, such random buying should come to an end.

An early start: Your children deserve the best. You know you will do anything to pay their university fees, or help them start a business venture, or to celebrate their wedding. For parents who are convinced about the need to plan finances for their children's future but don't know how to do it, help is at hand. Targeted insurance plans offer an ideal vehicle to save for your child's future. Look for a plan that takes care of your child's future needs, whether you are alive or not. Such plans typically pay you or your child a lump sum on a specified date. If you were to die during the tenure, these plans take care of the continuity of the finances to meet the set goal and also pay the family a fixed amount that was to cover your life.

Investor-friendly: There is more. Thanks largely to technology and the stock markets, life insurance policies have gotten more bells and whistles. These days, you no longer have to buy a new policy every time you want to change something in it. This is particularly true of ULIPs, which offer more flexibility than any other insurance product. "You have the flexibility of raising and lowering the amount you pay, and raising and lowering the death benefit to meet your needs," says Mishra. Even better, thanks to rapid advances in technology, you don't necessarily need an agent to help you actively manage your insurance plan; the Web interface allows you to switch funds, increase your cover, and also make additional payments, if necessary, at the click of the mouse.

Once you begin to see insurance

Rabindra Srimal, 49 Kolkata

Invested in: Several traditional plans, as well as ULIPs
I wanted insurance cover and high returns, which is why I have bought ULIPs. I am a chartered accountant and I could figure out how ULIPs work before buying them. Now, I am planning to shift to balanced and debt-based fund options.



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